



TREASURY MANAGEMENT

TM-ACH-COL-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · TREASURY MANAGEMENT

ACH Collections

Outbound debit origination for recurring and one-time consumer and commercial collections — with WEB authentication, prenote verification, and NACHA-compliant return-rate monitoring.

SERVICE TYPE	ACH debit origination (collections ODFI service)
SEC CODES	PPD (consumer recurring) · WEB (online auth) · TEL (phone auth) · CCD / CTX (commercial)
SETTLEMENT	Standard next-day · Same-Day
PRICING	\$0.08 – \$0.15 per item · \$5 per file
WEB ACCOUNT VALIDATION	Included (Nacha-mandated since 2022)
PRENOTE SUPPORT	\$0 per prenote
RETURN THRESHOLD MONITORING	Unauthorized ≤ 0.5% · Admin ≤ 3%
AUTHORIZATION STORAGE	Guidance provided; third-party vaulting available

AT A GLANCE

Overview

Cumulus ACH Collections is the purpose-built ACH origination service for accounts-receivable use cases: recurring consumer billing (monthly subscriptions, membership fees, rent, utility auto-pay), one-time online-authorized debits (WEB-code e-commerce), phone-authorized debits (TEL), and commercial invoice collection (CCD / CTX). Cumulus applies Nacha Rule compliance controls — mandatory WEB Account Validation, unauthorized-return-rate monitoring, authorization-storage guidance, prenote validation — to reduce return risk and protect origination privileges. Compared to card collection, ACH Collections delivers substantially lower per-transaction cost at the trade-off of settlement timing and return windows.

WHY ACH COLLECTIONS

Key benefits

COST-EFFECTIVE RECURRING COLLECTION Cost-effective recurring collection Typical per-item cost of \$0.10 compared to card interchange of 1.5%–2.5%. For a \$100 recurring billing, card cost ~\$2.50 vs. ACH ~\$0.10.	WIDE AUTHORIZATION CHANNELS Wide authorization channels PPD for signed recurring authorizations; WEB for online sign-up; TEL for phone-obtained authorization; CCD / CTX for commercial trading-partner debits.
BUILT-IN NACHA COMPLIANCE Built-in Nacha compliance WEB Account Validation, prenote support, return-rate monitoring, and unauthorized-return-rate threshold alerts — compliance tooling integrated into the origination workflow.	SETTLEMENT WINDOWS THAT MATCH CASH-FLOW Settlement windows that match cash-flow Standard next-business-day settlement for scheduled billing; Same-Day ACH for urgent or retry collections.
RETRY AUTOMATION Retry automation Automated retry on returned transactions with Nacha-compliant retry limits (maximum 2 retries within 30 days for same authorization, without prior notification).	REPORTING AND RECONCILIATION Reporting and reconciliation Daily settlement file with authorization-level reconciliation; BAI2 / camt.053 integration to AR / billing systems.

CHOOSE YOUR AUTHORIZATION

SEC codes for collections



SEC CODE	AUTHORIZATION METHOD	USE CASE	STORAGE REQUIREMENT
PPD · Prearranged Payment and Deposit	Written authorization (wet signature or similarly authenticated)	Recurring consumer billing — rent, utilities, insurance, memberships	Retain authorization for 2 years after last debit
WEB · Internet-initiated	Online 'I authorize' checkbox + session logging + Account Validation	E-commerce, online subscription sign-up, web-portal recurring billing	Retain online authorization record + session log for 2 years
TEL · Telephone-initiated	Recorded phone call with specific Nacha-required script elements	Call-center sales, one-time phone payments	Retain recording or written notice + call log for 2 years
CCD · Corporate Credit/Debit	Trading-partner agreement	B2B invoice debits under master agreement	Retain trading-partner agreement
CTX · Corporate Trade Exchange	Trading-partner agreement with EDI	B2B invoice debits with full 820/ 835 remittance	Retain trading-partner agreement + EDI 820 records

SERVICE FEES

Pricing

ITEM	AMOUNT	NOTES
Origination — < 5K / month	\$0.15 / item	
Origination — 5K – 25K / month	\$0.12 / item	
Origination — > 25K / month	\$0.08 – \$0.10 / item	Negotiated
File fee	\$5 / file	
Same-Day surcharge	\$1 / item	Applied above standard origination
Return — unauthorized (R05, R07, R10, R29)	\$5 / return	Applied to unauthorized returns only
Return — administrative (R01, R02, R03, R04)	\$2 / return	NSF, account closed, invalid account
Prenote	\$0	Zero-dollar verification
WEB Account Validation	\$0.15 per lookup	Mandatory under Nacha WEB Rule
Reversal request	\$25 / item	Per Nacha criteria

NACHA THRESHOLDS

Return-rate monitoring



Nacha Rules establish three return-rate thresholds that originators must remain below. Exceeding a threshold triggers Nacha inquiry and — if unresolved — remediation obligations or origination suspension.

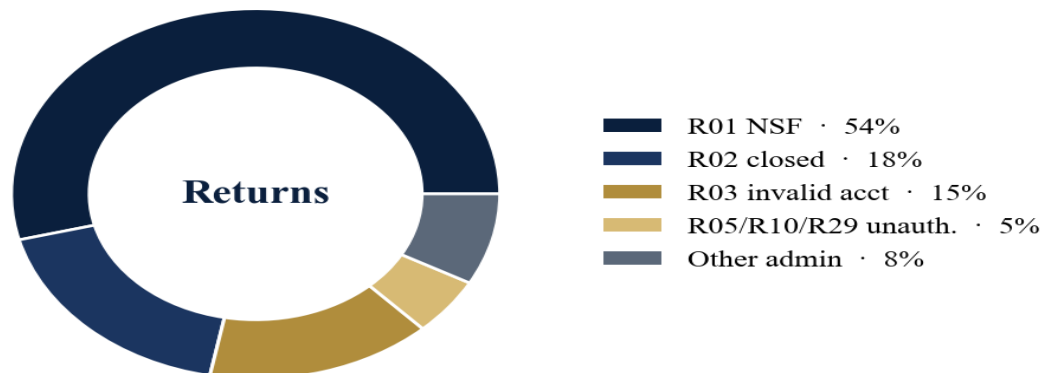
THRESHOLD	NACHA INQUIRY	NACHA VIOLATION	CUMULUS MONITORING
Unauthorized returns (R05, R07, R10, R11, R29)	$\geq 0.5\%$	$> 1.0\%$	Daily monitoring with client alert at 0.3%
Administrative returns (R02, R03, R04)	$\geq 3.0\%$	—	Weekly monitoring with client alert at 2.0%
Overall return rate (all reasons)	$\geq 15.0\%$	—	Monthly monitoring with client alert at 10.0%

UNDERSTANDING RETURNS

Return-reason distribution

The chart below shows a typical industry distribution of ACH return codes for consumer-recurring billing. Administrative returns (R01 insufficient funds, R02 account closed, R03 invalid account) dominate; unauthorized returns (R05, R07, R10, R29) are small but strictly regulated.

Typical return-reason distribution (consumer recurring)



WHEN TIMING MATTERS

Same-Day ACH for collections

- **Retry of returned items** — a failed debit can be retried same-day via Same-Day ACH, reducing days-in-collection.
- **Urgent commercial debits** — B2B invoice settlement at month-end or fiscal year-end.
- **One-time consumer payments** — customer service remediation where the customer wishes to pay immediately.
- **Same-Day per-entry maximum** is \$1,000,000 under Nacha Rules; standard per-entry maximum is unlimited subject to your Cumulus file limit.



— **Same-Day surcharge** of \$1 per item applies; evaluate whether expedited collection vs. next-day timing warrants the premium.

HOW IT WORKS

Implementation and onboarding

STEP	ACTIVITY	TIMING
1 · Credit and compliance review	Cumulus reviews originator, business model, expected return rate, and sets origination limits.	Days 1–7
2 · Authorization review	Cumulus reviews client's authorization templates and storage approach for each SEC code in scope.	Days 5–10
3 · Agreement	Execute Origination Service Schedule; confirm SEC codes, limits, and acknowledgment of Nacha obligations.	Days 10–14
4 · Configuration	Entitlements, approvers, IP-whitelist, channel (Business Online / SFTP / API), WEB Account Validation.	Days 14–21
5 · Prenote and test	Test-file validation and prenote entries to confirm receiver accounts.	Days 21–28
6 · Live origination	First live file; Cumulus Risk Operations reviews closely for first 30 days with return-rate monitoring.	Day 28+

COMMON QUESTIONS

Frequently asked questions

How long can a consumer return an unauthorized debit?

Under Regulation E (12 C.F.R. § 1005.11), consumers have 60 days from the date the statement shows the unauthorized entry to return it as R05 or R10. This is far longer than commercial accounts (24 hours under UCC Article 4A). Build this return window into your accounts-receivable management and revenue-recognition processes.

What is WEB Account Validation?

Since March 19, 2022, Nacha Rules require originators to apply a 'commercially reasonable' fraudulent-transaction-detection system for WEB debit entries. The most common implementation is account validation — verifying the account exists and is in good standing before debit. Cumulus provides Account Validation as part of ACH Collections.

Can I retry a failed debit?

Yes. Nacha Rules permit up to 2 retries of a returned debit within 30 days of the original authorization without new written notice — but only for NSF (R01) and Uncollected Funds (R09) returns. Retries of unauthorized returns (R05, R07, R10) are not permitted without new authorization.



What return rate triggers Nacha intervention?

The key threshold is the unauthorized-return rate: 0.5% triggers inquiry, 1.0% is a violation. Cumulus alerts you at 0.3% to provide lead time. If you approach the threshold, expect Cumulus Risk Operations to request remediation plans and may require process changes.

How do I manage authorizations for a large subscriber base?

Cumulus recommends a third-party authorization vault (e.g., PaymentCloud, Authorize.net) for WEB and TEL authorizations. For PPD paper authorizations, digital imaging with indexed retrieval meets Nacha recordkeeping rules. Authorizations must be retrievable for 2 years after the last debit.

Can I collect internationally through ACH?

International debits require IAT (International ACH Transaction) SEC code with enhanced data requirements — OFAC screening, FinCEN travel-rule data, country-of-ultimate-beneficiary fields. IAT setup is available through Cumulus but requires additional compliance review and typically 30-day implementation.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ ACH Collections services are provided by Cumulus Bank, N.A. as the Originating Depository Financial Institution (ODFI) under the Treasury Services Master Agreement, applicable service schedule, the Nacha Operating Rules, and Regulation E where consumer receivers are involved.

§ Originators are responsible for obtaining and retaining proper authorizations for every debit entry. Nacha Rules require written, similarly-authenticated, or — for WEB — online agreement authorization; TEL requires recorded phone authorization. Unauthorized-return rate thresholds apply; exceeding them triggers Nacha inquiry and remediation obligations.

§ Same-Day ACH debits are subject to Nacha Rule windows and receiving-bank settlement timing. Funds are collected from the receiver's account on the settlement date; returns may arrive within 2 business days (or up to 60 days for consumer unauthorized returns under Regulation E).

§ WEB Account Validation is mandatory under Nacha Rules as of the effective date of the WEB Debit Account Validation Rule. Cumulus provides Account Validation within the ACH Collections service.

ENGAGE A SPECIALIST

Connect with a Cumulus commercial banker

A Commercial Relationship Manager will assess your business's banking, credit, and treasury needs, coordinate supporting specialists, and return a term sheet or proposal on an expedited timeline. Existing Cumulus clients should contact their dedicated Relationship Manager directly.

COMMERCIAL DESK

954.417.2880

Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET

CLIENT PORTAL

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TREASURY SERVICES

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